

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF
SRI LANKA**

*In the matter of an Application for
Orders in the nature of Writs of
Certiorari, Prohibition and Mandamus
under Article 140 of the Constitution of
the Democratic Socialist Republic of Sri
Lanka.*

Ceyquartz MBI (Pvt) Ltd,
"Dutch House", No. 34/1, Castle Street,
Colombo 8.

CA (Writ) App. No. 386/2024

PETITIONER

Vs.

1. Geological Survey and Mines Bureau,
No. 569, Epitamulla Road, Pitakotte.
2. Dr. Kithsiri manchanayake,
The Chairman,
Geological Survey and Mines Bureau,

J.M.S.N. Jayasingha,
The Chairman,
Geological Survey and Mines Bureau,

SUBSTITUTED 2ND

RESPONDENT

3. Prof. H.M.R. Premasiri,
Director General (Acting),
Member,
Board of Management,
Geological Survey and Mines Bureau,
4. Mr. I.C. Pathiraja,
Member,
Board of Management,
Geological Survey and Mines Bureau,
5. Ms. Ajitha Batagoda,
Member,
Board of Management,
Geological Survey and Mines Bureau,
6. Dr. A.M. Hamdani,
Member,
Board of Management,
Geological Survey and Mines Bureau,

U.G. Jayasuriya,
Member,
Board of Management,
Geological Survey and Mines Bureau,
SUBSTITUTED 6TH
RESPONDENT

7. Mr. R. M. Gamage,
Member,
Board of Management,
Geological Survey and Mines Bureau,

*The 2nd to 7th Respondents all of
No. 569, Epitamulla Road, Pitakotte.*

8. Mr. B.K. Prabath Chandrakeerthi,
Secretary,
Ministry of Environment,

"Sobadam Piayasa",
No. 416/C/1,
Robert Gunawardana Mawatha,
Battaramulla.

9. Hon. Attorney General,
Attorney General's Department,
Colombo 12.

RESPONDENTS

Before: Dr. D. F. H. Gunawardhana, J.

Counsel:

Sanjeewa Jayawardena, P.C. with A.A.M. Illyas, P.C, and Dr. Milhan Mohamed instructed
by Neelakandan & Neelakandan for the Petitioner.

Avanthi Weerakoon, S.C. for the Respondents.

Argued on: 03.03.2026

Delivered on: 09.09.2026

Dr. D. F. H. Gunawardhana, J.

Judgement

Introduction

The Petitioner is a body corporate duly incorporated under the laws of Sri Lanka, capable of suing and being sued in its corporate name, and is also a Board of Investments (BOI) approved company. The Petitioner seeks the intervention of this Court to compel the Respondents to implement the National Mineral Policy of Sri Lanka 2023.

The 1st Respondent is the Geological Survey and Mines Bureau (hereinafter sometimes referred to as “GSMB”), which is also a body corporate incorporated in terms of Section 2 of the Mines and Minerals Act, No. 33 of 1992 (as amended) (hereinafter sometimes referred to as “the Act” or “the Minerals Act”), is a public functionary charged with the responsibility of the conservation and management of mineral resources of the country. Further, it asserts that in terms of Section 12(d) of the Act, it is tasked with the function to regulate *inter alia* the exploration, mining, trading and exportation of minerals by issuance of various licenses; therefore, it is the regulatory machinery in respect of mineral resources of Sri Lanka. The 2nd Respondent is the Chairman thereof, the 3rd Respondent is the Director General (Acting) of the 1st Respondent, while the 4th to 7th Respondents are Members of the Board of Management of the 1st Respondent. The 9th Respondent is the Secretary to the Ministry of Environment, which is the line ministry, and the 10th Respondent is Honourable Attorney General.

Upon the issuance of formal notice, the Respondents filed their objections, and thereafter, the matter was argued before me on 03.03.2026; hence, this judgement.

The Petitioner's complaint

The Petitioner asserts that, prior to 1987, the exportation of vein (raw) quartz or unprocessed quartz in quartz lumps was banned in Sri Lanka. However, in 1987, a policy decision was taken to permit the exportation of vein quartz, subject to an export price of US Dollar 75 per tonne and the payment of an export duty of 20%.

In 1993, the Government took a decision to permit the exportation of quartz only as a value-added product. Accordingly, the company called "Aristons", which is a shareholder of the Petitioner company, commenced exporting vein quartz in 1994. Thereafter, in 1994, pursuant to the Government policy taken in 1993 to permit only the exportation of value-added products, the "Aristons" company entered into an agreement with the BOI and the Ministry of Industrial Development; which is marked as **P4**.

Thereafter, pursuant to the said agreement and another agreement with the BOI, the Petitioner was floated by the Aristons Private Limited company. The said BOI agreement entered into between "Aristons" and the BOI is marked as **P2** dated 03.02.1996.

The Petitioner asserts that it has been incorporated pursuant to an agreement entered between "Aristons" and the 1st Respondent.

Pursuant to a Cabinet decision in 1999, the 1st Respondent had prepared a National Mineral Policy in 2023, enshrined in a document marked as **P20** annexed to the Petition (which the Petitioner has obtained following the procedure laid down in the Right to Information Act, No. 12 of 2016 (as amended)). The said National policy enshrined in **P20** complimented by another document prepared by the Ministry of Industrial Development in 1999, marked as **P19** annexed to the Petition.

The Petitioner's contention is that, from time to time, on an *ad hoc* basis, the joint ventures operating in the mining, extraction, and exportation of quartz were permitted to export different varieties of quartz, including vein and raw quartz, as well as value-added products.

The Cabinet decision dated 27.05.1998 taken to that effect is a national policy, which is marked as **P6**.

Further, the Petitioner asserts that, in the meantime, in 2008 a Fundamental Rights application bearing No. 431/2008 had been filed in the Supreme Court by certain persons engaged in the quartz mining and exportation industry, and the 1st Respondent was a respondent thereto. However, the 1st Respondent, having considered the way it implements the National policy, finally entered into an agreement pursuant to a direction given by the Supreme Court in the said Fundamental Rights Application; according to that, only the licensed companies engaged in mining, processing, selling, and exportation of quartz in the form of processed quartz or raw quartz in limited quantities, are permitted to export and nobody else is permitted to mine quartz indiscriminately without any license and exportation thereof without any licensing as vein quartz or raw quartz since there is no value-addition.

However, the Petitioner was not a party to the said application. Nevertheless, pursuant to a direction given by the Supreme Court in the said Fundamental Rights application, a report containing a proposal for a national policy was prepared in respect of the exportation of minerals. The relevant documents contained therein are marked as **P9(a)** and **P8(b)**. In addition to that, a report was forwarded to the Attorney General with a covering letter annexed thereto.

According to the said report, wherein the National policy is contained and marked as **P9(b)**, the National policy was to maximise the technological use and value-addition of the vein quartz extracted from various mines and thereby to export the same, while discouraging the exportation of raw or vein quartz. The objective was therefore to encourage optimum value-addition and industrialisation of the industry, thereby generating more foreign income therefrom.

Accordingly, the Petitioner commenced export operations of certain quantities of raw products and value-added products to various countries, thereby generating and bringing foreign exchange into the country. In addition to that, it generated direct employment for 350 people at its plants in Nawala, Matale, and Bentota, where it produces High-Purity Silica Quartz, Quartz Grits, and Engineered Quartz Surfaces.

However, the exportation of different quantities, in different forms of exports of quartz from different mines, was permitted on an *ad hoc* basis, and such permission was given by the Cabinet of Ministers.

However, the initial permits were limited after the expiration of seven years. Then, the exportation of raw quartz, vein quartz, or unprocessed quartz were limited or banned, unless such quartz

extracted from various mines were permitted to export as processed products after value addition. Only pursuant to the value-addition policy did Aristons had to enter into a BOI agreement with the Petitioner as a partner thereof; the Petitioner also asserts that it was incorporated for that purpose.

The Petitioner later realised, as transpired from the documents and correspondence between the 1st Respondent and the Petitioner, that the 1st Respondent had decided to liberalise the said National policy contained in the report marked as **P9(b)**, which had been prepared pursuant to the directive given by the Supreme Court in the said Fundamental Rights application. Therefore, the Petitioner seeks the said writs in this Application.

It further asserts that valuable quartz are not available in every part of the country; however, are available only in very limited areas such as Galaha-Kandy, Matale, Dambulla, and certain parts of Galle. Therefore, the mining should be done under close supervision of and by the relevant authorities, with minimum environmental impact that might result in serious harm to the flora and fauna as part of the environment. Since there were steps to liberalise the permit issuance process, there is a new draft “Mineral Investment Agreement” in the pipeline.

The Petitioner is seeking to invoke the writ jurisdiction of this Court to prevent the 1st Respondent and other Respondents from taking actions of liberalising the exportation of raw quartz or vein quartz, and to obtain a *Writ of Certiorari* quashing the issuance of any permit given for the exportation of raw quartz. In addition to that, the Petitioner seeks a *Writ of Mandamus* to compel the 1st Respondent to comply with the National policy.

Accordingly, the Petitioner seeks *inter alia* the following relief;

(b) Grant and issue a mandate in the nature of a Writ of Prohibition, prohibiting the 1st to the 7th Respondents, and/or all of the Respondents, and/or any one or more of the Respondents, from permitting the exportation of raw quartz;

(c) Grant and issue a mandate in the nature of a Writ of Certiorari, quashing any decision by any one or more of the Respondents, to permit the exportation of raw quartz, and or continuing to permit the exportation of raw quartz;

(d) Grant and issue a mandate in the nature of a Writ of Certiorari, quashing the purported report of the Technical Evaluation Committee of the GSMB, annexed to the letter dated 29/12/2023 issued by the Information Officer of the GSMB, produced marked "P13";

(e) Grant and issue a mandate in the nature of Writ of Mandamus, directing the Respondents to duly comply with the Government policy, to prohibit the exportation of raw quartz from 2009;

(f) Grant and issue a mandate in the nature of a Writ of Mandamus, directing the Respondents to duly comply with the National Mineral Policy of Sri Lanka- 2023, produced marked 'P20';

The Respondents' Objections

The Respondents by their Statement of Objections has taken up the position that the 1st Respondent has taken steps to liberalise the strict nature of the licensing procedure and thus, paved the way or opened the gates to various entrepreneurs or those who are engaged in mining and/or exportation

of quartz, to encourage foreign earnings. In addition to that, it is their main objection that the 1st Respondent is taking steps to create a level-playing field for anybody to enter into the business of mining, processing, selling, or exportation of quartz in its raw or processed forms.

Further, they have taken up the position that if the Petitioner's Application is permitted, a monopoly will be created for the Petitioner or certain cartel of people in the said business.

Arguments

Dr. Milham Mohamed argued that the Respondents have violated the report of the GSMB, which was adopted after the Supreme Court decision or the settlement before the Supreme Court. Further, he argued that before they authorised other competing parties to export quartz in bulk, a hearing should have been given to the Petitioner to place his objections before such authorisation. Thirdly, he argued that the authorisation given indiscriminately violates the National Mineral Policy.

On the other hand, Ms. Avanthi Weerakoon argued that the proper parties are not before the Court, nor are there provisions in the Act itself to prohibit the export of quartz. Further, she argued that if the Petitioner's Application is allowed, a monopoly will be created.

Issues to be considered

In view of the matters pleaded by the Petitioner and by the Respondents in their Objections, in addition to the arguments advanced at the hearing, it is my view that the following issues arise for the consideration of the Court;

- (i) Whether there is a national policy with regard to the mining, exportation and selling of minerals and their by-products;
- (ii) Whether the mining of quartz would fall within that policy and whether it is in accordance with the national policy, and whether there is a prohibition against exporting vein quartz or quartz in its raw form;
- (iii) If the answer to the above is in the affirmative, whether the Government can issue licences to exporters for the export of vein quartz or raw quartz;
- (iv) Whether there is any reasonable and legitimate expectation entertained by the Petitioner that the Respondents would implement the national policy and not permit anybody to obtain a licence to export vein quartz or quartz in raw form.

In addition to the oral submissions made before me, the Petitioner as well as the Respondents have further explained their submissions in writing. Thereby, the Petitioner expects the National policy to be implemented by the Respondents, particularly by the 1st Respondent, by preventing anybody from obtaining or preventing the 1st Respondent from issuing any licence to export vein quartz or quartz in its raw form. Therefore, the Petitioner heavily relies upon the National policy contained in **P20**, the report, and the settlement entered into before the Supreme Court in the said Fundamental Rights application bearing No. 431/2008. The Petitioner also heavily relies upon the concept of legitimate expectation based on the said National policy contained in **P20**.

However, on the other hand, it was argued on behalf of the Respondents that the Petitioner cannot entertain such legitimate expectation because there is no legitimate right or duty cast upon the Respondents by a statute.

In addition to that, it is the position of the Respondents that the Petitioner cannot expect the Respondents to prevent other exporters from entering into a level-playing field in the exportation of quartz. Accordingly, it is my view that, having considered the above issues raised by me, I should proceed to decide this case.

Accordingly, I will now consider the questions raised above one-by-one, to arrive at a conclusion.

National policy

It is argued by the Petitioner that there is a National policy, and the 1st Respondent, along with the other Respondents officials, are required to stick to following the national policy and implement the same. However, it is argued for and on behalf of the 1st Respondent and other Respondents officials that there is no such National policy, and if there is a National policy, it has to be in the form of a statute.

Be it as it is, now I will consider whether there is a national policy.

There is a national policy to a certain extent which is reflected in the Act itself, and the 1st Respondent is also established in terms of the same Act as well. However, the provisions thereof is enacted as far back as in 1992, and therefore, from time-to-time there are certain new provisions added to the National policy, either in the form of a Cabinet memoranda or in the form of judgements and reports submitted by the 1st Respondent on the directives given by the Cabinet.

Although the provisions of the said Cabinet memoranda, reports, and Supreme Court judgements are not enshrined in an Act of Parliament, still the provisions thereof are complimentary to the

provisions contained in the Minerals Act of 1992, which can therefore also be considered as part of the National policy. Therefore, it is my view that there is a national policy contained in the Act; since it is not comprehensive, from time-to-time interpretations or new provisions in the form of Cabinet memoranda, and reports filed by the 1st Respondent under the directives of the Supreme Court or Cabinet have become recognised as part of the National policy.

In addition to the provisions of the Act, there is a Cabinet Memorandum marked as **P6** annexed to the Petition and dated 20.05.1998, where it has been decided by the Cabinet to ban the export of silica if the necessary requirements are not complied with; additionally, it is also decided that it must be encouraged to export value-added products more than silica in its raw or vein form. However, even if the quartz mined in Sri Lanka are permitted to be exported from time-to-time, it should be limited depending on the requirements. Therefore, it is very clear by the said Cabinet Memorandum that the policy of the Government is reflected.

Further, it is decided in the same Cabinet Memorandum that only the legal entities engaged in quartz mining and exportation should be permitted to export; however, this should be done after creating them as private BOI companies, and not otherwise.

Pursuant to the Cabinet decision taken in 1998, **P20** was adopted as the National policy, and complimentary thereof, **P19** was prepared and adopted. In addition to that, the report **P9(b)** was also prepared to be filed in the Supreme Court Fundamental Rights application bearing No. SC/FR/431/2008. As such, the National policy is encapsulated in **P20**, and the other documents are only ancillary to that and complimentary thereof.

As such, a report had been prepared, and it is marked as **P9(a)** and **P9(b)** annexed to the Petition. The document marked as **P9(a)** is a letter sent to the Attorney General's Department by the 1st Respondent based on the report **P9(b)**. According to **P9(b)**, a part of the National policy is set out, particularly with regard to the quartz mined in Sri Lanka, which proposed that such quartz should only be permitted to be exported subject to the value-addition made by the various local exporters. Additionally, how to carry out the value-addition is also set out in the said report itself, and it is suggested that quartz products with physical or chemical structural changes achieved through an industry-specific process can be considered as value-addition to the raw quartz mined.

It is also further suggested that lumps and chips of quartz should not be permitted to be exported and is discouraged, while value-addition should be encouraged.

Value-addition requires the use of foreign technology as most mineral processing technology is not available locally. Therefore, it is suggested that the best method of evaluating the value-addition is to ascertain the type of technology used to process the mineral, depending on the end-user's requirements; for example, if the end-user wants a powder-type quartz, the machinery used to produce such a product should be installed, having imported it from a country where such machinery is available.

Therefore, value-addition is a very important and serious process for the purpose of generating foreign income and employment opportunities generated within the industry to implement the National policy. Thus, it is my view that there is a policy contained in the various sources mentioned above.

The next question that I have raised is whether mining and exporting raw quartz in its raw form should not be permitted.

Discouragement of the exportation of non-value-added quartz

Before 1992, there was no restriction on exporting quartz. However, once the Minerals Act came into existence, it provides that all the minerals, either on the surface or below the soil, belong to the Government, and identified minerals including quartz and all other sand minerals belong to the Government as well. Therefore, if somebody is engaged mining, processing, selling, and exportation of such minerals, they have to obtain a license first. The issuance of license is given on *ad hoc* basis in respect of most of the mineral mining and sale.

Quartz is also such a mineral that requires such a license issued on *ad hoc* basis for its mining, processing, selling, and exportation purposes.

In 1998, as reflected in **P6**, a Cabinet decision was taken to have a national policy. Pursuant to that, the National policy **P20** was prepared; complimentary to **P20**, **P19** was also prepared. It should also be noted that the main salient feature of the National policy in **P20** is the promotion of value-added products and the exportation of value-added products, not raw or vein quartz. In addition to that, the value-addition has to be done depending on the requirements of the end-user; accordingly, the local producers are encouraged to invest in sophisticated machinery for the production of value-added quartz products depending on the requirement of the end-user.

However, it is my view, and as argued by the Petitioner, since value-addition is to be encouraged, and BOI companies are encouraged to be set up for the purpose of processing quartz mining,

processing, sale, and exportation as value-added products, the use of technology is also seriously encouraged according to the National policy. Therefore, permitting the exportation of raw quartz is against the said National policy; as such, it is my view that it has to be discouraged. If quartz is exported as raw quartz or vein quartz, it will first affect the future investors from investing in the industry; secondly, it will affect the goodwill of the industry and damage the reputation by not selling value-added products; thirdly, if the value-addition is done in Sri Lanka, more employment opportunities will be created, and as the value-added products are more expensive than the sale of raw products, more foreign exchange will be generated for the country. As such, value-addition should be encouraged.

This is the rationale of the National policy contained in the sources that I have mentioned above.

Thus, the question raised above is answered in the negative and in favour of the Petitioner.

The third question that I have raised is whether the 1st Respondent can issue license to export raw or vein quartz, and it is my view that it should be discouraged as it has been done so since 1992 because it affects the goodwill of the industry and the country's economy.

Responsibility of the Respondents

It has been argued for and on behalf the Respondents that they are responsible for creating a level-playing field, and thereby, need to encourage more exporters and business entrepreneurs to enter into the industry of mining raw or vein quartz and the exportation of the same.

However, the 1st Respondent is only entrusted by the Statute to carry on the duties for and on behalf of the people of this country, and it cannot make policy decisions; it can only merely implement them. It also must be remembered that to change such a serious National policy, even the Government cannot do so overnight because the Executive branch of the Government can implement those policies while holding the national treasures for and on behalf of the country; therefore, they are holding it on trust for the people of this country.

As such, the Respondents cannot permit anybody do anything according to their whims and fancies from time-to-time.

Legitimate expectation

Therefore, it is my view in the circumstances that I have explained above, the Petitioner has been established for the purpose of following the National policy pursuant to a Cabinet decision taken in 1996, as a BOI company who has been floated by the Aristons Private Limited, who had entered into an agreement with the BOI, and consequent to the floating of the Petitioner, the Petitioner has also entered into a subsequent BOI contract as reflected in **P2**.

Therefore, the Petitioner who has been in the industry, and always followed the directives available in the various sources as I have referred to above, the Petitioner has also invested in the industry of quartz mining with the legitimate expectation that indiscriminate mining would not be permitted by the Trustees of public property, such as the 1st Respondent, who holds the property in the name of the Nation while permitting mining and exportation expect for the benefit of the Nation.

To buttress my view, I rely on the judgement of His Lordship Justice Amerasinghe in the case of *Bulankulama and Others v. Secretary, Ministry of Industrial Development and Others*.¹

Therefore, it is my view that the Petitioner has legitimately expected that such national policy could only be implemented by the 1st Respondent and other Respondents officials.

As such, it is my view that writs lie in favour of the Petitioner.

Conclusion

In light of the above-mentioned circumstances, I grant relief as prayed for in prayers (b), (d), (e), and (f) of the Petition.

JUDGE OF THE COURT OF APPEAL

¹ [2000] 3 Sri L.R. 243.